

# **Executive Summary: Nassau Candy Distributor - Product Profitability and Margin Performance Analysis**

## **Overview**

This project evaluates product-level and division-level profitability at Nassau Candy Distributor to support pricing, sourcing, and portfolio-management decisions. The analysis focuses on profit concentration, division performance, margin strength, and exposure to low-margin risk.

## **Key Findings**

- Profit is highly concentrated: 4 products generate approximately 80% of total profit while representing only about 27% of the product portfolio.
- The Chocolate division is the strongest business segment, contributing the highest revenue and gross profit while maintaining strong margin performance.
- Gross margins are healthy and stable, averaging roughly 66%, which indicates effective pricing discipline and cost control.
- Margin risk exposure is limited in the current portfolio, with relatively few high-sales products showing weak margin performance.

## **Business Impact**

The current business mix is financially strong, but it is also dependent on a relatively small number of high-performing products. This creates concentration risk: disruptions in supply, pricing pressure, or demand shifts affecting those products could materially reduce overall profitability.

## **Recommendations**

- Protect the availability, pricing, and supply continuity of the top profit-driving products.
- Develop mid-performing products and divisions to reduce dependency on a narrow profit base.
- Monitor low-margin SKUs routinely and trigger pricing or cost reviews where profitability weakens.
- Use recurring division- and product-level profitability reporting to guide portfolio decisions.

## **Conclusion**

Project 1 shows that Nassau Candy has a strong profitability structure, especially within the Chocolate division. The next management priority is to reduce concentration risk while preserving current margin strength.